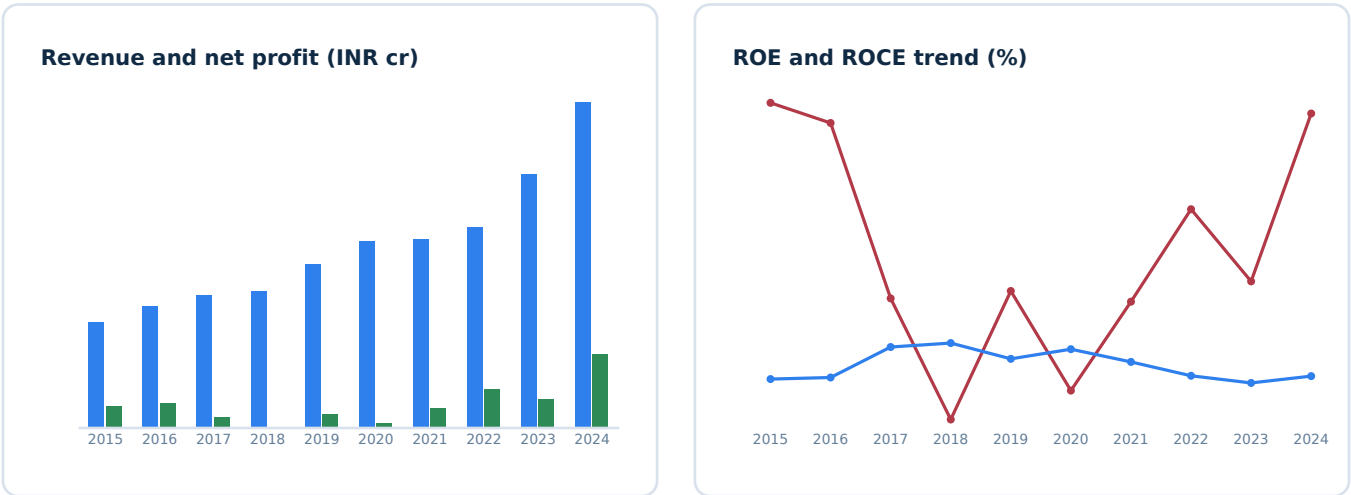


Axis Bank Ltd

AXISBANK | Financials | Private Banks

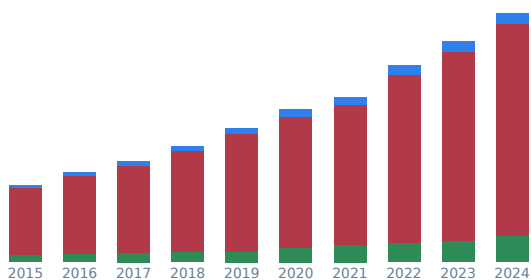
NIFTY 100 INTELLIGENCE | PAGE 1

ROE 15.8%	ROCE 2.6%	REVENUE CAGR 5Y 14.7%
NET PROFIT 24,861 cr	DEBT / EQUITY 8.2x	BORROWINGS 1,295,302 cr

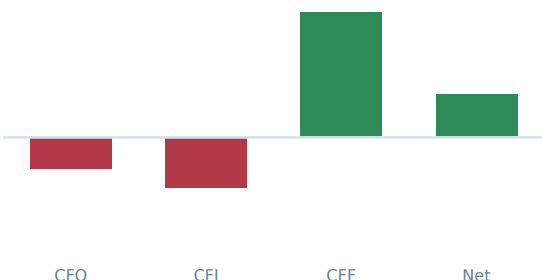


Coverage: 10 annual observations shown; latest financial year: 2024-03

Balance sheet composition (INR cr)



Latest-year cash flow (INR cr)



Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Earnings per share declining for 3 consecutive years reflects deteriorating profitability
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility

CAPITAL ALLOCATION

Growth Funded by Debt